**BEFORE THE**
**U.S. COPYRIGHT OFFICE**

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| **Software-Enabled Consumer Products** | **Docket No. 2015-6** |

**<u>COMMENTS OF THE COPYRIGHT ALLIANCE</u>**

The Copyright Alliance appreciates the opportunity to file the following reply comments in response to the Notice of Inquiry relating to Software-Enabled Consumer Products.

A wide range of comments was submitted to the Office. Many were supportive of the existing law and asserted that no change in the copyright law was necessary or appropriate at this time. Others raised concerns and suggested that a change in the law might warrant consideration. Despite these different views, there were some common themes that were prevalent throughout most of the comments:

*Existing copyright law has been a boon to innovation and creativity, and Congress should proceed very cautiously and consult with stakeholders before considering any alteration in the law.*

Regardless of whether commenters urged for changes or no changes to the copyright law, most of the comments reached similar conclusions to those championed by the Copyright Alliance; namely that copyright protection for software is at least in part responsible for the tremendous growth in innovation that is benefiting consumers today.[1] Many commenters also asserted that the existing law successfully balances the interests of creators with those of users and the public and highlighted the numerous ways that software in consumer products has improved features and functionality for consumers.[2]

*Copyright law should not distinguish between software embedded in everyday products and other types of software.*

A significant majority of the comments filed with the Office—even those that recommended changes to the law—joined the Copyright Alliance in recommending that Congress not amend the Copyright Act to treat embedded software differently than other types of software or other types of copyrighted works.[3] These commenters note that seeking to draw artificial lines around software embedded in consumer products would be very difficult to apply in practice and could adversely affect incentives, investment, and innovation across many different sectors of the economy—leading to numerous and substantial unintended consequences.[4]

*There is no or insufficient evidence that the existing law has caused any actual problems in the secondary marketplace or harmed consumers.*

Many commenters agreed with the Copyright Alliance in observing that there is very little, if any, evidence to suggest that software companies use licensing agreements or the copyright law to prevent legitimate secondary markets for consumer products that contain

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[1] *See* Comment from BSA | The Software Alliance to the Copyright Office (Feb. 17, 2016); Comments from Software & Information Industry Association (SIIA) to the Copyright Office (Feb. 17, 2016); Comments from Microsoft to the Copyright Office (Feb. 17, 2016); Comments from Entertainment Software Association (ESA) to the Copyright Office (Feb. 17, 2016).

[2] *See* Microsoft, *supra* note 1; Comments from Center for Instructional Innovation & Assessment (CIIA) to the Copyright Office (Feb. 17, 2016).

[3] *See e.g.*, Comments from ACT | The APP Association (ACT) to the Copyright Office (Feb. 17, 2016); Comments from Center for Democracy & Tech (CDT) to the Copyright Office (Feb. 17, 2016); CCIA, *supra* note 2; BSA, *supra* note 1; Microsoft, *supra* note 1.

[4] *Id*.

embedded software.[5] While some comments do allege that the existing law and/or software licenses harm consumers or the market, very few of these comments provided any actual evidence to support their claims. Most of the concerns are vague conditional statements like those by the Computer & Communications Industry Association (CCIA) stating that "licensing terms *may* [] interfere with competition, and restrict the free movement of goods in the marketplace" and "[t]he *prospect* that products with embedded software *might* not be transferable… *could* have significant deleterious economic effects." (emphasis added); the Center for Democracy & Technology (CDT) "[u]ncertainty around the copyrightability of APIs *may* deter innovation in software-enabled devices" (emphasis added); and the Intellectual Professors' Comments stating "*if* Mattel decides to clamp down on the secondary market for used toys, it could… so *could* Ford or Volkswagon." (emphasis added). Significantly, in each instance the commenter failed to provide even a single real-life instance to substantiate such complaints.

There is a reason that these and other comments are riddled with "coulds", "mights," "ifs" and "mays"—these concerns are largely theoretical and ignore marketplace forces that, as we explained in detail in our initial comments, effectively discourage embedded software licensors and their device partners from engaging in anti-consumer behaviors.

Although a few commenters did identify some examples, many of the examples are irrelevant to the present Copyright Office study because they relate to software being used to enforce terms of an agreement irrespective of the exclusive rights in the embedded software. For example, the Intellectual Professors comments complain about the Google Glass license, which prohibits the resale or other transfer of the device and allows Google to deactivate the device if it is transferred, and the Amazon Kindle license, which allows Amazon to use software in its Kindle to remotely delete books or disable consumer accounts. All these complaints and several others in the comments relate to the way embedded software is used to enforce usage terms and not to the way exclusive rights in the software are enforced. Accordingly, these examples should have no bearing on the outcome of this study,

[5] *See* BSA, *supra* note 1; SIIA, *supra* note 1; Microsoft, *supra* note 1; Comments from Global IP Center to the Copyright Office (Feb. 17, 2016).

It is also significant that all the examples cited in the comments involve technology companies and device manufacturers enforcing *their* license agreements as a means for controlling the use of the device. For example, in addition to the Google Glass example above the comments also note that John Deere and Apple prevent customers from repairing software embedded in its tractors and iPhones respectively, and Keurig used embedded software to prevent unauthorized coffee pods from being used with its device. None of the examples complained of involves the enforcement of the embedded software company's license being used to control or prevent the use of the underlying software embedded in the device contrary to or independently from the device manufacturer's wishes. Nor did any of the examples entail embedded software being used to control or prevent the use of other copyrighted content, like movies, music, photographs or books, as a means for enforcing the exclusive rights in that content.

If the copyright law were altered in some way to address this so called "problem," it would likely have little effect on these practices, as these companies and manufacturers would simply find another way to attempt to exert control over the use of their products. There is no reason to think that others device manufacturers might use, for example, patent law to continue to exert a certain level of control over their devices and the technology and software incorporated into those devices.

To be clear, while the commenters identified several different ways that device manufacturers and software develops attempt to exert control over the use and resale of devices containing embedded software, the vast majority of these actions are completely justified and reasonable. For example, OnStar, like many software companies, allows their licensed software to be transferred along with the sale of the car that contains the OnStar software so long as the used-car seller first notifies them that they have sold the car to another person (so OnStar does not continue charging the seller).[6] Similarly, as noted in the comments by the Owners Rights Initiative, for various security and business reasons, Oracle, like most software companies,

[6] ONSTAR, REMOTELINK END USER LICENSE AGREEMENT 5 (2015), *available at* https://www.onstar.com/content/dam/onstar-web/temp-footer/Onstar_RemoteLink_EULAs_USE.pdf.

devotes technical support resources to those it directly licenses its software to and not to others that they have no direct relationship with. These are two very common examples of the way that software licenses impose limitations on use and transfer that are rationale and necessary to protect both the software developer and the consumer.

While many of these license limitations are completely justified, there may be others that may be more questionable. In those rare cases, the real controlling factor is likely not copyright, patent, anti-trust or contract law, but rather market forces. Any device manufacturer that attempts to prevent its customers from reselling its devices or to impose undue restrictions on its customers without first putting them on notice of these limitations would likely not be in business for very long after it garnered a reputation for such anti-consumer behaviors. Keurig is a good example of this. After Keurig decided to prevent the use of unlicensed coffee pods with its products, there was a huge consumer backlash and a significant drop in its stock price. This market revolt, not litigation over the scope of copyright or contract law, ultimately resulted in Keurig retracting its decision.

<u>There were also several other arguments raised in the comments that are worth addressing.</u>

*License Agreements*

Several commenters were critical of EULA and license agreements. They complained that EULAs and Terms of Service are too long, too complex and too numerous for consumers to read and understand.[7] Regardless of whether these statements are correct, the Copyright Office should largely ignore them because they are outside the scope of this study. Even if we assume these complaints are wholly accurate, the commenters have not made any claims unique to licensing of copyrighted works that would warrant a change in the copyright law.

Software licenses are no more complex or lengthy than any other agreement that consumers routinely encounter in their everyday activities. Conducting a simple Google search? That involves reading their 2,000-word agreement. Buying something on Amazon? The

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7 *See* Comments from Electronic Frontier Foundation (EFF) to the Copyright Office (Feb. 17, 2016).

agreement is 3,500 words long. Purchasing a ticket on United Airlines? That agreement is about 40,000 words and close to 50 pages long.[8] Buying tickets to a sporting event on Ticketmaster? Its Purchase Policy, separate and apart from any other documents and agreements, is over 3,000 words. Using your American Express credit card to buy these things? That involves another 7,000 words to read.

Lengthy end-user agreements are simply a necessity of functioning in everyday society. There is nothing specifically problematic or different about agreements for embedded software or devices that contain embedded software than any other type of agreement. This is the conclusion the Department of Commerce's Internet Policy Task Force came to in its recently released *White Paper on Remixes, First Sale, and Statutory Damages*: "This situation is hardly unique to content delivery services; consumers encounter lengthy EULAs in a wide variety of activities."

Moreover, placing undue restrictions on software licenses would require software companies to radically change their pricing structure and could have very significant and long-lasting adverse effects on the industry and consumers. Like others in the marketplace, software developers should be able to dictate the terms by which the product they license is used through end-user license agreements.

*Software Repair and Modifications*

Whether consumers and others should be allowed to repair or modify software incorporated into devices that they own presents some very complex issues. Some advocate for allowing research, repair or modification of embedded software in certain limited and controlled situations. But there are equally good arguments for not allowing unfettered research, repair and modification of embedded software. The complexity of the arguments is heightened because such acts of research, repair and modification likely implicate many areas of the copyright law, including the anti-circumvention protections of section 1201 (including the triennial rulemaking proceedings), the fair use provisions (as they relate to interoperability and reverse engineering) in

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[8] UNITED AIRLINES, INC., CONTRACT OF CARRIAGE (2015), *available at* https://www.united.com/web/format/pdf/Contract_of_Carriage.pdf

section 107, several of the exclusive rights of the software copyright owner in sections 106, as well as many other laws. There are also numerous state laws and voluntary agreements relating to the repair of software-enabled and other devices.

These issues are not new ones. Congress considered the issues back in 1998 when it added section 117 and section 1201. The concerns raised by commenters about repair and modifying software seem to be directed to section 1201, and not section 117. Because section 1201 is the focus of a separate study, to the extent concerns have been raised but not addressed in our original comments or these reply comments we direct the Office to incorporate our comments in the section 1201 proceeding by reference.

Finally, we want to emphasis the importance of voluntary agreements in remedying consumer protection concerns. In 2014, the automobile industry[9] came together to voluntarily enter into the Memorandum of Understanding and Right to Repair Agreement,[10] which serves as an alternative to the circumvention of TPMs to allow consumers to diagnosis and repair cars manufactured by signatory companies. Through the combination of the laws above or through guidelines and voluntary agreements, the market is able to balance the interests of consumers in repairing their vehicles with the interests of a copyright owner's right to prevent access.

Please let me know if we can provide any additional information or answer any questions regarding our views in this submission.

Respectfully submitted,

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[9] Signatories include the Auto Alliance, the Association of Global Automakers, the Automotive Aftermarket Industry Association, and the Coalition for Auto Repair Equality.

[10] R2R AGREEMENT (2014).